Micron Technology, Inc.

MU NASDAQ

Buy	$911.79 ▼ 0.26%	12M Price Target	52-Week Range	Market Cap
		$1150.00	$192.40 – $1255.00	$1.03T

MU: Memory Giant Cools After Epic Run — Buyable Dip

WHAT HAPPENED

- MU is down ~11% in a week after hitting an all-time high above $1,255 — this looks like classic profit-taking after a monster run, not a fundamental break. The stock is still up roughly 4x off the 52-week low, so some folks are ringing the register.
- Options flow is screaming bullish — put/call ratio of 0.57 (meaning way more call buyers betting on upside than put buyers hedging downside) and massive unusual call buying at $880-$900 strikes. Someone with real money thinks this dip is a buying opportunity.

WHY IT MATTERS

Here's the key read: MU just crossed $1 trillion in market cap, which puts it in rarified air and invites both profit-taking AND index-fund buying. The pullback is happening WITHOUT bad news, which usually means it's technical (traders taking gains) rather than a change in the story. The bigger picture is still intact — HBM memory (the super-fast chips that sit next to AI GPUs) is sold out through 2027 and MU is one of only three suppliers globally (Samsung, SK Hynix, Micron). As long as hyperscaler capex — the spending by Amazon, Microsoft, Google, Meta on data centers — stays elevated, every dip in MU is a gift.

POLICY & POLITICAL WATCH

MU is a direct beneficiary of the CHIPS Act — they already locked in roughly $6.1B in federal grants for their New York and Idaho fabs, and the Trump administration has been doubling down on domestic semiconductor manufacturing with additional tax credits (the ADVANCE Act expansion is being debated now). The real wildcard: export controls on advanced memory to China. If the administration tightens rules on HBM3E exports (which has been floated), MU loses some near-term China revenue but gains pricing power as supply tightens globally — net positive, counterintuitively. Watch for the Commerce Department's updated chip export framework expected before year-end.

IS IT EXPENSIVE?

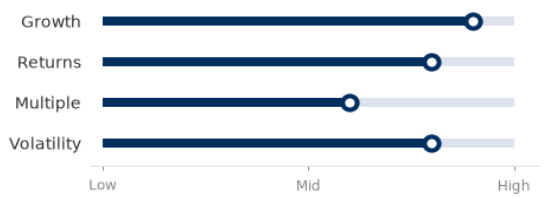
At roughly $912 and ~63x forward earnings, MU looks expensive on the surface — investors are paying $63 for every $1 of expected profit, which is nosebleed for a historically cyclical memory company. BUT if FY27 EPS estimates of $22 are right (and they could be low given HBM pricing), you're really paying 41x next year's earnings for a company growing earnings 50%+ — that's actually reasonable. The question isn't "is it expensive?" — it's "are we early or late in the memory super-cycle?" I think we're mid-cycle.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$911.79**
12M Price Target	**$1150.00**
Upside / (Downside)	**+26.1%**
Market Cap	**$1.03T**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$62,000M**
FY2026E EPS	**$14.50**
FY2027E EPS	**$22.00**
Fwd P/E	**62.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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MU — Micron Technology, Inc. | October 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1050.00**	$950.00	**$820.00**
6 Months	**$1300.00**	$1100.00	**$750.00**
1 Year	**$1500.00**	$1150.00	**$700.00**
2 Years	**$1800.00**	$1350.00	**$650.00**
5 Years	**$2500.00**	$1700.00	**$500.00**
10 Years	**$4000.00**	$2200.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.5%) and Materials (+1.5%) are leading today — that's a defensive/value rotation, which actually explains why high-flying tech names like MU are cooling off. Money is rotating OUT of winners and INTO laggards.

COOLING OFF: Semiconductors and AI infrastructure names are taking a breather after a parabolic Q3 — not a thesis break, just mean reversion.

ROTATION WATCH: This looks like end-of-quarter rebalancing — portfolio managers trimming the biggest winners (MU, NVDA) to lock in gains and buying beaten-down sectors. These rotations typically last 2-4 weeks before the leadership reasserts itself.

RELATED PLAY: If memory stays tight, memory equipment makers (LRCX, AMAT, KLAC) benefit from MU's capacity expansion — they sell the picks and shovels to the memory gold rush.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king — every MU HBM chip ships into an Nvidia GPU, so they move together but NVDA has been more resilient on this pullback.
- AVGO (Broadcom): Custom AI silicon demand (Google TPUs, Meta MTIA) keeps growing — a diversified AI winner.

MU CONTEXT: MU is lagging the AI complex over the last 5 days, which is unusual — it usually leads on the way up and down. This underperformance is likely overdone and sets up a catch-up trade if the group stabilizes. Watch for MU to lead the next leg up.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm leaning in on this pullback. The HBM story is structural, not a fad, and the options flow confirms smart money is buying this dip.

POSITION SIZE: 3-5% of portfolio — memory is volatile enough that you don't want to oversize, but the risk/reward here is as good as it's been in months.

ENTRY POINTS: Start a position here around $910, add aggressively if we see $850-870 (that would be ~15% off highs, a classic healthy correction).

TIME HORIZON: 12-24 months — catalyst is December/January earnings where I expect HBM pricing commentary to be very strong, plus FY27 guidance that forces analysts to raise numbers.

WHEN TO BAIL: Cut if MU closes below $800 (would signal technical breakdown), or if any hyperscaler guides capex DOWN on their next earnings call. Those are your bright-line exit signals.

HEDGING: Simplest hedge — pair with a short position in the semi ETF (SOXX) so you're betting MU outperforms the group rather than betting on the whole sector. Alternatively, buy a January $800 put as cheap insurance against a bigger pullback.

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